

- [Veev.com](#) which offers luxury leather products
- [Menzkart.com](#) that looks at the largely untapped market of Men's hygiene and personal care
- [Laptopwale.com](#) that sates the hunger of the mobile computer within Indian society
- [Footsy.in](#) that sells an unnoticeable commodity – socks!

Going once, going twice, auctioned!

A relatively new concept in auction sites and gaining popularity in India is that of minimum bids. The business model employs a mixture of an auction and a strategy game to sell high value items through a lowest unique bid. These auctions require bidders to make a bid that is not only the lowest but also one which has not been made by anyone. How do businesses make a profit by selling items worth thousands of dollars for peanuts? Well, typically the site charges a low participation fee and since the auction attracts a sufficiently large number of bidders, often the bids exceed the value of the item being sold, thereby allowing the auction organizer to make a profit.

Indian site, [jeetle.in](#) is one such popular example, which has a traffic rank of 1426 amongst users in India. Other Indian auction sites include [mybids.in](#), [almostfree.in](#) and [bidjeeto.com](#) to name a few. There is also [bidstall.com](#), which uses a different bidding model where participants must enter the highest unique bid though the maximum bid for any product does not exceed Rs 10.

Globally, there are also other types of auction sites such as [sella.co.nz](#) in New Zealand where various brands set up their own stores and offer products up for auction. Other examples are [trademe.co.nz](#) and [eBay](#), which are used by the community to sell not only new but also second-hand products through the auction model.

The auction business model works because it encourages repeat visits to sites but also results in strong customer engagement with the brand.

Community buying

When buying alone is just no fun, there is the community-shopping model. This model is employed in different ways by different sites but they all use the power of people to engage eyeballs and generate value. The community-shopping model is a combination of the vertical marketplace and megamall models and is best explained through examples.